

The real juice, however, is in the performance fees. You won't get rich on management fees, but the performance fees can do the trick. If the management fee is your salary, then the performance fee is your bonus. In this case, after a stellar performance year, this bonus amounted to nearly 4% of the asset base.

If you had started off with a US\$10 million portfolio, and didn't see any inflows or outflows during the year, it's quite easy to figure out the economics involved. You got paid US\$184,000 for showing up to work this year, and you got a bonus of US\$370,000 for doing a good job, a total compensation of over US\$550,000. If you think that sounds like a good pay, you should try managing a hundred million, rather than just ten.

■ 2003

Going into our second year, we're already riding high. We had a great start of our new managed futures fund and 2002 turned out to be a brilliant time to start. Don't get cocky, kid. There's a significant element of luck in starting timing of any strategy. In this particular case, I chose to start the year-by-year review chapter in 2002 just to get a full twenty years. In the business, most get nervous after a great year, since they're so often followed by a bad year. There's no statistical significance to that statement of course, but that's "what if" often feels like.

Our portfolio composition looks a little different at the start of 2003. Most notably, we have twice the number of positions in the portfolio (Table 6.5). And if you recall, with each position approximately the same risk size, that means we have doubled the amount of risk from last year. We still have a large number of commodities, about half of the portfolio risk exposure. We're now long across the rates curve, with a tiny, mixed exposure in equities (Table 6.6, Figure 6.7). Those of you who have been around the markets a while already know that 2003 is when we started seeing the stock markets returning after the dot.com crash, and the return of the bull market trends, but at the start of the year, there wasn't any sign of that just yet.

Figure 6.8 shows the performance of our little strategy over the course of 2003, along with the long and short contribution to that performance, and a comparison with MSCI World Total Return Index. There's more than one thing that stands out here. Whether you first notice that the strategy ended